DEFENSE LOGISTICS AGENCY
ENERGY
8725 JOHN J. KINGMAN ROAD
FORT BELVOIR, VIRGINIA 22060-6222

March 11, 2025

Mr. Jamshid Naqshbandi
Managing Director
NAI Logistics B.V. (NAI)
Kirgsfordweg151, 1043 GR
Amsterdam, the Netherlands

Re: Notice of Termination for Cause Contract Number SPE60523D9402.

Mr. Naqshbandi:

You are hereby notified that Contract SPE60523D9402 (referred to as *the contract*) is terminated completely pursuant to FAR 52.212-4 Contract Terms and Conditions—Commercial Products and Commercial Services (Nov 2021), paragraph (m). This action is based upon NAI Logistics B.V. (NAI) placement on the United States Department of the Treasury – Office of Foreign Assets Control (OFAC) sanctions list.

All U.S. persons must comply with OFAC sanctions, including all U.S. citizens and permanent residents regardless of where they are located, all individuals and entities within the United States, and all U.S. incorporated entities and their foreign branches. Terms such as "U.S. person" and "person subject to U.S. jurisdiction" are defined in the implementing regulations for a particular sanctions program in 31 CFR chapter V. (See e.g., 31 CFR § 560.314 (Iranian Transactions and Sanctions Regulations (ITSR)); 31 CFR § 598.318 (Foreign Narcotics Kingpin Sanctions Regulations). In the case of certain programs, foreign subsidiaries owned or controlled by U.S. persons also must comply. (See e.g., 31 CFR § 560.215 (ITSR); 31 CFR § 510.214 (North Korea Sanctions Regulations)). Non-U.S. persons are also subject to certain sanctions prohibitions. For example, non-U.S. persons are prohibited from causing or conspiring to cause U.S. persons to violate U.S. sanctions, as well as engaging in conduct that evades U.S. sanctions. Certain programs also require foreign persons reexporting certain goods, technology, or services from the United States to comply with U.S. sanctions, even if no U.S. persons are involved in the reexport.

Violations of OFAC-administered sanctions programs may result in civil and, in some cases, criminal penalties. Penalties for violations can be substantial. Civil penalties vary by sanctions program, and the Federal Civil Penalties Inflation Adjustment Act of 1990, as amended by the Federal Civil Penalty Inflation Adjustment Act Improvements Act of 2015, requires OFAC to adjust civil monetary penalty amounts annually. See Appendix A to 31 CFR part 501—Economic Sanctions Enforcement Guidelines.

The Government shall pay Supplier for any accepted Deliverables provided prior to the effective date of termination unless such payment is prohibited by law or subject to any applicable set-off right. The Government has been restricted by OFAC\ DFAS for transactions

because there is no applicable general license or exemption for the Government's engagement with NAI. FAR 25.701 (a).

Based upon the foregoing, I have determined that NAI's placement on the OFAC sanctions list stops NAI from any further performance under *the contract.*

This is the final decision of the Contracting Officer. You may appeal this decision to the agency board of contract appeals. If you decide to appeal, you must, within 90 days from the date you receive this decision, mail or otherwise furnish written notice to the agency board of contract appeals and provide a copy to the Contracting Officer from whose decision this appeal is taken. The notice shall indicate that an appeal is intended, reference this decision, and identify the contract by number. With regard to appeals to the agency board of contract appeals, you may, solely at your election, proceed under the board's small claim procedure for claims of $50,000 or less or its accelerated procedure for claims of $100,000 or less.

Instead of appealing to the agency board of contract appeals, you may bring an action directly in the United States Court of Federal Claims (except as provided in the Contract Disputes Act of 1978, 41 U.S.C. chapter 71, regarding Maritime Contracts) within 12 months of the date you receive this decision.

Subject to the appeal time frames specified above, you may request that this dispute be resolved using alternative dispute resolution procedures.

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Date: 2025.03.11 08:59:40 -04'00'

JOHN PARSON
Contracting Officer
Ground Fuels Division III
Direct Delivery Fuels